

Cyclicals are the most misunderstood of all the types of stocks. It is here that the unwary stockpicker is most easily parted from his money, and in stocks that he considers safe. Because the major cyclicals are large and well-known companies, they are naturally lumped together with the trusty stalwarts. Since Ford is a blue chip, one might assume that it will behave the same as Bristol-Myers, another blue chip (see charts). But this is far from the truth. Ford's stock fluctuates wildly as the company alternately loses billions of dollars in recessions and makes billions of dollars in prosperous stretches. If a stalwart such as Bristol-Myers can lose half its value in a sorry market and/or a national economic slump, a cyclical such as Ford can lose 80 percent. That's just what happened to Ford in the early 1980s. You have to know that owning Ford is different from owning Bristol-Myers.

Timing is everything in cyclicals, and you have to be able to detect the early signs that business is falling off or picking up. If you work in some profession that's connected to steel, aluminum, airlines, automobiles, etc., then you've got your edge, and nowhere is it more important than in this kind of investment.

TURNAROUNDS

Turnaround candidates have been battered, depressed, and often can barely drag themselves into [Chapter 11](#). These aren't slow growers; these are no growers. These aren't cyclicals that rebound; these are potential fatalities, such as Chrysler. Actually Chrysler once was a cyclical that went so far down in a down cycle that people thought it would never come back up. A poorly managed cyclical is always a potential candidate for the kind of trouble that befell Chrysler and, to a slightly lesser extent, Ford.

The Penn Central bankruptcy was one of the most traumatic events that ever happened to Wall Street. That this blue chip, this grand old company, this solid enterprise, could collapse was as startling and as unexpected as the collapse of the George Washington Bridge would be. An entire generation of investors had its faith shaken—and yet once again there was opportunity in this crisis. Penn Central has been a marvelous turnaround play.

Turnaround stocks make up lost ground very quickly, as Chrysler, Ford, Penn Central, General Public Utilities, and numerous others have proven. The best thing about investing in successful turnarounds is that of all the categories of stocks, their ups and downs are least related to the general market.

I made a lot of money for my shareholders by buying Chrysler. I started buying at \$6 (unadjusted for later splits) in early 1982 and watched it go up fivefold in less than two years and fifteenfold in five years. At one point I had 5% of my fund invested in Chrysler. While other stocks that I owned have risen